

To validate Module 4 and correctly answer the questions will require that you perform the following exercise first: take the code in the file named module4.R, and modify it such as, in the simulations, from 2016 to 2025, 1,000 new customers are acquired every year and added to the database. Tip: it will require that you add a line of code between the lines #99 and #100 to specify that segment 8 has an influx of 1,000 new customers every year.

You'll be asked to answer these questions :

How many "inactive" customers does the model predict there will be in 2015?

What would the database be worth by 2025 (cumulated revenues, discounted) if a constant influx of 1,000 new customers was added every year till then?

Looking at the transition matrix, what is the likelihood of a "new warm" customer to become "cold"?

Looking at the transition matrix, the likelihood of transitioning from "new active" to "cold" customer is 0%. Why so?

After the modification to the code, how many customers will there be in the database by 2022?

module4.R (https://d3c33hcgivew3.cloudfront.net/_0b...)

purchases.txt (https://d3c33hcgivew3.cloudfront.net/_...)

